

List of Topic to be Discuss in this lecture

- Initiating the project
- Identifying the Project Purpose
- What is Stakeholder?
- Talking To the Stakeholders
- Levels of Organization
- Project Charter
- What is project stakeholder management?
- Levels of engagement

Initiating the project

- The first process group is initiation.
- At the initiation stage, the PM must make an effort to understand the reasons the project is necessary.
- Empathizing with the project customer (the person paying for the project) and the key stakeholders now can help you stay on track later.
- Knowing why the project is being created will help you ask the right questions to help the customer get to the desired solution.

Identifying the Project Purpose

- **Why is the project being initiated?** You first have to know the project purpose.
- **Does everyone agree on this purpose and goals?** There must be consensus on what the project will create. There must be consensus on of the project. If not, you can count on trouble before the project is complete.

What is Stakeholder?

Individuals, groups, or organizations who may affect, be affected by, or perceive themselves to be affected by a decision, activity, or outcome of a project. The table below identifies some of the people who might be stakeholders in your job or in your projects:

Your boss	Shareholders	Government
Senior executives	Alliance partners	Trades associations
Your co-workers	Suppliers	The press
Your team	Lenders	Interest groups
Customers	Analysts	The public
Prospective customers	Future recruits	The community
Your family	Key contributors	Key advisors

Talking To the Stakeholders

There are five questions every project manager should ask stakeholders:

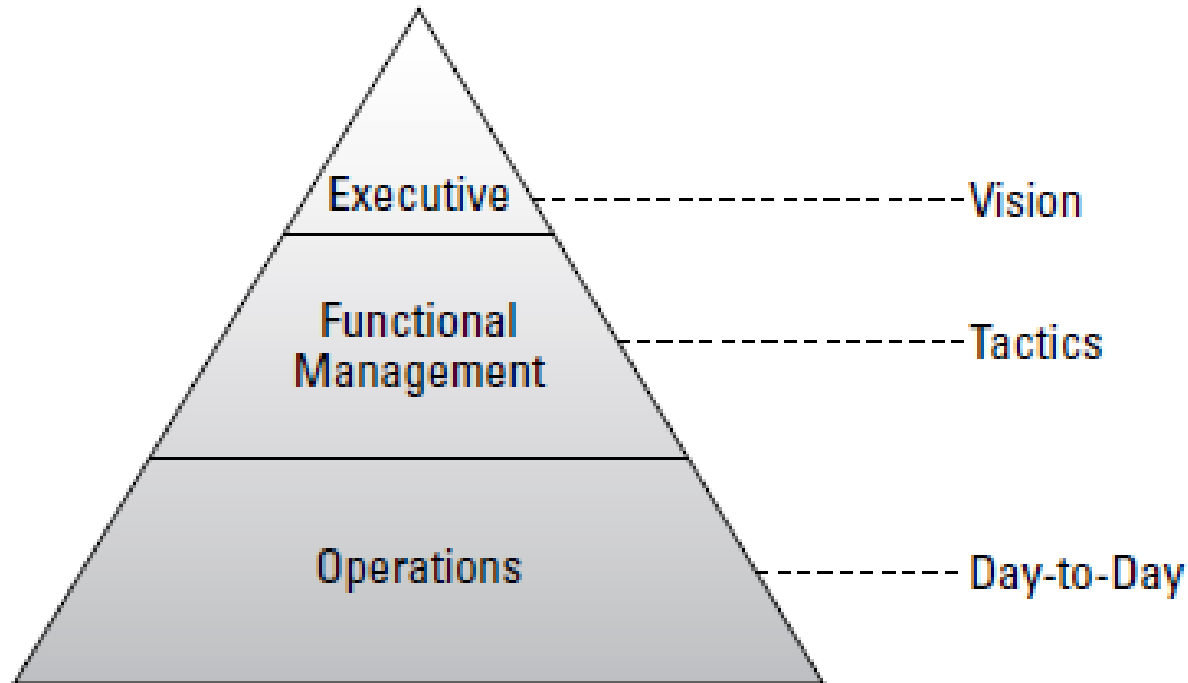
- **What are the factors for completion?** You should ask this key question far in advance of starting the project work. As a project manager you need to know what the project will accomplish and be able to plan how to get there. If the qualifications for completion are unknown or fuzzy at best, you're not ready to get to work. Starting a project without knowing what the end result should be is like building a house without blueprints.
- **What is the goal/objective of this project?** Knowing the project's goal helps you and the team plan. For some projects the goal will be to win new customers, or to make internal processes more efficient, or to solve a problem. Other projects may be financially based. For example, the goal maybe to create this essential transition to VoIP without spending more than\$235,000.

Talking To the Stakeholders

- **What are the areas of the organization that this project will affect?** The answer to this question tells you who you need to communicate with. It also brings to attention that there may be stakeholders who aren't attending meetings and should be. Although it's easy to identify the end-users of your software, there may be “hidden stakeholders” to consider: accounting, security personnel, government agencies, a training team, and so on.
- **What is the project priority?** Chances are good you'll be managing more than one project at a time, and there are equal chances that your project team members will be on multiple projects as well. When you consider these odds it's best to know your priorities so you know where to spend your energy.
- **What is the accepted range of variance?** The range of variance is the $\pm$ value associated with the budget and the schedule. For example, a project may have a budget of \$450,000, +45,000 to -\$25,000. This means the project could actually cost as much as \$495,000 or as little as \$425,000. You can actually apply the same methods to the project schedule. This nugget of info can help you plan and react to problems within the project—and you know there'll be problems.

Levels of Organization

Each level of your organization has different needs, different concerns, and different goals for your project. You need to address each level of your organization to get the project moving to completion



Talking To the Executives

Executives are responsible for setting the vision and direction of their organization. This small group of people (or sometimes even a single person) has a vision for the organization and is interested in taking herself and her employees there.

Questions you need to ask executives.

- What are the factors for project success?
- What's your vision for the project result?
- What's more important, time or budget?
- What risks do you anticipate for this project's success?

Talking To the Functional Management

In the middle of the pyramid are all the folks who comprise functional management. You may know this layer as middle management. Their purpose is to carry out the vision of the executives. It's at this level of the organization that tactics, strategy, and delivery of purpose to the employees take place.

Questions you'll need to ask functional managers:

- What are the factors for project success?
- Are there scheduling issues that will affect the project's end date?
- What resources are available for the software creation?
- What departments and customers will need to interact?
- How will the project team be assembled?
- Do you have a preset budget in mind for the project?
- What risks do you see for this project?

Talking To the Operations

Down deep in the pyramid you'll find operations. These are the people that do the work. The people in operations focus on the day-to-day activities of getting things done.

Questions you'll need to ask to the operations:

- What are the factors for project success?
- How will the software be used?
- What other software projects are you working on now?
- What immediate risks do you see in the project?
- Who has the experience to get this done?
- Do we need training to create this software?
- What areas of the project are you dreading?

Project Charter

- A project charter is written by the person who has the authority within an organization to authorize the project to move forward. This individual has the positional power to authorize resources and funds.
- The project charter may be written by the project manager, but is signed by someone with more power in the organization than you. This person typically becomes the project sponsor.
- Technically, the charter should be signed by a person whose role in the organization is higher than all managers that may have employees on your project team.

Project Charter

Project Title				Project Manager	
Start Date	<u>dd/mm/yy</u>	End Date	<u>dd/mm/yy</u>	Project Sponsor	
Benefit					
Constraints	Duration				
	Budget				
	Quality				
	Scope				
Deliverables					
Key Milestones					
<u>dd/mm/yy</u>					
<u>dd/mm/yy</u>					
<u>dd/mm/yy</u>					
<u>dd/mm/yy</u>					

Approval

Signature of Project Manager

Signature of Sponsor

What is project stakeholder management?

- **Identify** the people, groups, or organizations that could impact or be impacted by the project
- To **analyze** stakeholder expectations and their impact on the project.
- To **develop** appropriate management strategies for effectively engaging stakeholders

Identify Your Stakeholders

The Identify Stakeholders process is all about writing down your stakeholders' names along with their goals, expectations, and concerns in a document called the stakeholder register.

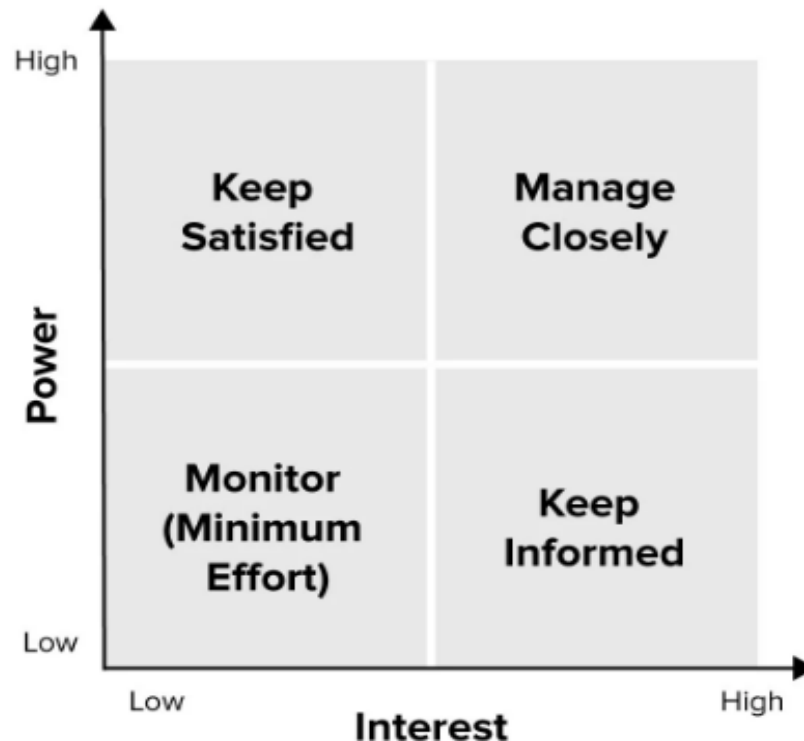
Most projects succeed or fail based on how well the project manager knows and manages stakeholder expectations.

Stakeholder Register

S.#	Name	Responsibilities	Requirements	Expectations
1	Zubair	• Attend the party • Write a blog post about it	• Compare this party with the other lounge parties in town • Get free drinks	Head First Lounge will have a first-rate sound system

Prioritize Your Stakeholders

You may now have a list of people and organizations that are affected by your work. Some of these may have the power either to block that work or to advance it. Some may be interested in what you are doing, while others may not care, so you need to work out who you need to prioritize. You can map out your stakeholders, and classify them according to their power over your work and their interest in it, on a Power/Interest Grid as follows.



Prioritize Your Stakeholders

The position that you allocate to a stakeholder on the grid shows you the actions you need to take with them:

- **High power, highly interested stakeholders (Manage Closely):** These are your most important stakeholders. You can plan to stay in regular communication with them to ensure their satisfaction with the project's aims and progress at all times.
- **High power, less interested stakeholders (Keep Satisfied):** These stakeholders are important, but you don't need to communicate with them as often as closely managed stakeholders.
- **Low power, highly interested stakeholders (Keep Informed):** These people may have advice and guidance for the project, as well as advance notice of any emerging issues, so it's beneficial to stay in occasional contact with them.
- **Low power, less interested stakeholders (Monitor):** These people are your lowest priority and you can aim to keep in touch with them, but you do not need to spend as much time communicating with them as with your other stakeholders.

Stakeholder Register with Power-Interest Grid

S.#	Name:	Responsibilities:	Requirements:	Expectations:	Power-Interest Grid
1	Zubair	• Attend the party • Write a blog post about it	• Compare this party with the other lounge parties in town	Head First Lounge will have a first-rate sound system	Keep Informed

Levels of Engagement

This Analytical techniques means figuring out how engaged your stakeholders are today, and how engaged you want them to be as your project gets under way. The levels of engagement are:

1. **Unaware:** The stakeholder does not know that the project is happening.
2. **Resistant:** The stakeholder does not want the project or decision you are making to happen.
3. **Neutral:** The stakeholder is fine with the project or decision no matter how it turns out.
4. **Supportive:** The stakeholder wants your project or decision to succeed.
5. **Leading:** The stakeholder is actively helping the project to succeed.

Stakeholder Register with Level of Engagement:

S.#	Name:	Responsibilities	Requirements	Expectations	Level of Engagement
1	Ali	• Attend the party • Write a blog post about it	• Compare this party with the other lounge parties in town • Get free drinks	Head First Lounge will have a first-rate sound system	Resistant

Stakeholder Register with Power-Interest Grid

Stakeholder Engagement Assessment matrix

Stakeholder	Unaware	Resistant	Neutral	Supportive	Leading
Asim	Yes				
Zahid		Yes			
Ali			Yes		
Faheem				Yes	
Kareem					Yes

Stakeholder Communication Requirements

Stakeholder	Type of information required	Frequency
Asim	Status meetings	Daily
Zahid	Status meetings	Weekly
Ali	Status meetings	Monthly